WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

GUATEMALA

Americas

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WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Guatemala City	Capital and largest economy in Central America by output; seat of government and the country's main financial, corporate and services hub	Financial services, ICT and business services, retail, real estate
Puerto Quetzal / Escuintla (Pacific coast)	Principal Pacific port and the only terminal in the country able to handle deep-draft vessels; expansion under way with the US Army Corps of Engineers, starting with an initial $63.7 million	Port logistics, agro-industry, energy, manufacturing
Santo Tomás de Castilla / Izabal (Caribbean coast)	Atlantic gateway for trade with the US East Coast and Europe, and home of ZOLIC, the free-trade zone authority that also oversees the special economic zone network	Port logistics, agro-exports, light manufacturing
Special Public Economic Development Zones (ZDEEPs) and free zones	17 ZDEEPs approved (five operating) and five free zones as of April 2025, offering 10-year income tax exemptions plus VAT and duty relief	Nearshoring manufacturing, logistics, services exports
Quetzaltenango (western highlands)	Second city and commercial centre of the western highlands, with a strong education base and links to the agricultural interior	Agro-processing, education, services, tourism
Western border with Mexico (San Marcos / Tecún Umán)	Main overland crossing with Mexico, positioning Guatemala as the land bridge between Mexico and the rest of Central America	Cross-border trade, logistics, warehousing
Petén (northern lowlands)	Largest department, home to the Maya heritage sites around Tikal and extensive agricultural land	Tourism, agriculture, forestry

INVESTOR ENTRY ROUTES

- Invest Guatemala, the national investment promotion agency, together with ProGuatemala in the Ministry of Economy, provides information, site-visit coordination, contacts and help with permits for foreign investors
- Foreign Investment Law (1998) granting foreign investors the same property and ownership rights as nationals, with no inbound screening and expropriation only with prior compensation; Guatemala is an ICSID member and CAFTA-DR provides investor-state dispute settlement

- Free Trade Zones under Decree 65-89 (as amended) and Special Public Economic Development Zones (ZDEEPs) under Decrees 22-73 and 30-2018, offering 10-year income tax exemptions and VAT and duty relief
- Export and Maquila regime offering a 10-year income tax exemption and relief on machinery and inputs for apparel, textile and services exporters
- Open foreign-exchange regime overseen by the Banco de Guatemala: no restrictions on converting or transferring investment funds, US dollars freely available and a quetzal that has been broadly stable since 1999
- Competitive electricity tenders run by the Ministry of Energy and Mines and CNEE: the PEG-5 round awarded up to 1,400 MW to 57 companies on contracts of up to 15 years, with a PEG-6 round in preparation
- Public-private partnerships through ANADIE and the priority road infrastructure law, supporting private participation in roads, ports and logistics

MARKET-ENTRY OBSERVATION

Guatemala in October 2026 combines Central America's largest economy with one of the region's most consistent macroeconomic records. GDP grew 4.3% in 2025 and economic activity expanded 4.4% in the first half of 2026, while the IMF projects 3.8% growth for 2026 converging to around 4% over the medium term. Public debt is low at around 27% of GDP, international reserves reached a record $32.7 billion at end-June 2026, and the current account recorded a surplus of 4.7% of GDP in 2025. Exports rose 7.1% to $15.6 billion in 2025 and foreign direct investment reached a preliminary $1.9 billion, up from about $1.6 billion in 2024, with a further 6.9% rise in January–May 2026. All three major agencies rate Guatemala one notch below investment grade (Moody's Ba1, S&P and Fitch BB+). The Agreement on Reciprocal Trade signed with the United States in January 2026, the 1,400 MW PEG-5 electricity tender and the appointment of a new Attorney General in May 2026 add further momentum.

Guatemala's main structural challenge is its infrastructure gap, the product of many years of low public investment and one of the lowest tax-revenue ratios in the region. Ports, roads and power networks have not kept pace with a growing, export-oriented economy. The government and its partners are now addressing this directly: Puerto Quetzal is being expanded with US Army Corps of Engineers support, the PEG-5 tender will bring new generation online from 2030, a priority road infrastructure law and renewed PPP framework are opening projects to private capital, and the IMF has endorsed scaling up public investment within a 2% of GDP deficit target. With a low debt burden, ample reserves and remittance inflows of around 20% of GDP sustaining domestic demand, Guatemala has the fiscal room to close the gap, creating sustained opportunities for investors in transport, energy, logistics and construction.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Infrastructure gap	Port congestion, road quality and power-network constraints raise logistics costs; the IMF has called for scaled-up public infrastructure investment with private participation	Port expansion, the PEG-5 tender and the PPP and road-infrastructure frameworks are creating a multi-year pipeline of projects open to private investors
Rule of law and judicial predictability	Investors report complex regulation and inconsistent judicial decisions, and Guatemala scored 25/100 on the 2024 Corruption Perceptions Index; the appointment of a new Attorney General in May 2026 marks a turning point	Use ICSID and CAFTA-DR dispute mechanisms, UNCITRAL-based arbitration through CENAC or CRECIG, and robust contract structuring
Community consultation for extractive and energy projects	ILO Convention 169 requires consultation with indigenous communities, but a consultation law is still pending, which has slowed some large mining and hydro projects	Invest early in community engagement and social licence; projects in manufacturing, services and solar or wind are less exposed
Dependence on remittances and US policy	Remittances of around 20% of GDP and a 30.5% export share to the US make the economy sensitive to US migration and trade policy	The January 2026 US reciprocal trade agreement removes tariffs on CAFTA-DR textiles and goods the US cannot produce, while record reserves provide a cushion

Issue	Potential Impact	Possible Mitigation
Security	A 30-day state of siege was declared in January 2026 after coordinated gang attacks; the homicide rate has been declining, to 16.1 per 100,000 in 2024	Apply standard security planning and favour established business districts, free zones and ZDEEPs with managed perimeters
2027 electoral cycle	General elections are scheduled for 27 June 2027, and the IMF notes that pre-electoral pressures may slow reform implementation	Lock in incentives and contract terms under existing law, and use the pre-election period to build relationships across the political spectrum
Climate and energy-price exposure	El Niño and higher oil prices are the IMF's main near-term risks; inflation rose to 4.69% in September 2026, still within the 3–5% target band	A credible central bank, a 3.50% policy rate and temporary fuel-tax relief support stability; climate adaptation creates opportunities in water, irrigation and renewables

INVESTOR RISK NOTE

Guatemala's risk profile is anchored by some of the strongest macroeconomic fundamentals in Latin America: low public debt of around 27% of GDP, record international reserves of $32.7 billion, a current account surplus, inflation within the central bank's target band and a stable quetzal with no restrictions on profit repatriation. These strengths have kept all three major rating agencies one notch below investment grade, with an upgrade a realistic medium-term prospect. The principal considerations for investors are governance and judicial predictability, community consultation for large extractive and energy projects, security, and the 2027 election cycle. Each can be managed: international arbitration and CAFTA-DR protections provide recourse, early community engagement underpins social licence, and the May 2026 change of Attorney General is a meaningful step for institutional confidence. Investors focused on manufacturing, services, renewable energy and infrastructure can position for the country's next phase of growth with confidence.

MARKET ACCESS

Guatemala is a WTO member and part of the Dominican Republic–Central America–United States Free Trade Agreement (CAFTA-DR), its most important trade framework, complemented by the Agreement on Reciprocal Trade signed with the United States on 30 January 2026, which removes US reciprocal tariffs on CAFTA-DR textiles and apparel and on goods the US cannot produce in sufficient quantity. Central America is Guatemala's largest export market, taking 36.4% of exports in 2025, followed by the United States at 30.5%, and Guatemala participates in Central American economic integration. Association Agreements with the European Union and the United Kingdom provide preferential access to European markets. Leading exports include apparel, coffee, bananas, sugar and palm oil. With ports on both the Pacific and the Caribbean and a land border with Mexico, Guatemala is a natural nearshoring and logistics platform for North American and regional supply chains.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of the President (Bernardo Arévalo)	Sets the government's reform agenda on infrastructure, anti-corruption and investment attraction	Primary reference point for strategic direction and priority projects
Invest Guatemala / ProGuatemala (Ministry of Economy)	National investment promotion and facilitation bodies supporting market entry, site selection and permits	Standard first point of contact for market entry and incentive guidance
Banco de Guatemala and Monetary Board	Central bank responsible for monetary policy (3.50% policy rate), the 3–5% inflation target and $32.7 billion in reserves	Relevant for currency, banking and macro-financial matters
Ministry of Economy	Leads trade policy, including the 2026 US Agreement on Reciprocal Trade, and oversees the free zone and maquila regimes	Key counterpart for trade access, incentives and regulatory questions

Actor	Why It Matters	Waverley Engagement Angle
Ministry of Energy and Mines and CNEE	Run the PEG generation tenders and regulate the electricity sector and extractive licensing	Essential partners for power-generation and energy-infrastructure investment
ANADIE (National Agency for Infrastructure Partnerships)	Structures and manages public-private partnerships for roads, ports and other economic infrastructure	Gateway to the PPP pipeline for infrastructure investors
ZOLIC (Santo Tomás de Castilla Free Zone)	Authority overseeing the free-trade zone and the authorisation of ZDEEPs nationwide	Relevant for manufacturing, logistics and nearshoring projects seeking zone incentives

CURRENT INTERNATIONAL BUSINESS CHANNELS

The American Chamber of Commerce of Guatemala (AmCham Guatemala) is the leading foreign business association, alongside CACIF, the umbrella body for Guatemala's private sector, and AGEXPORT, the influential exporters' association with strong sector networks in apparel, agri-food and services. Invest Guatemala organises investor outreach and sector events. The US International Development Finance Corporation has a dozen active projects, mainly in finance and insurance, and the World Bank, Inter-American Development Bank and Central American Bank for Economic Integration are active in infrastructure, energy and private-sector development. ZOLIC works with foreign commercial counsellors to connect investors with zone opportunities.

INVESTOR PROFILE BEST SUITED

Guatemala suits investors seeking a stable, low-debt economy with a strategic location next to Mexico and the United States: nearshoring manufacturers and apparel producers using ZDEEP and maquila incentives and CAFTA-DR access; renewable-energy developers participating in the PEG generation tenders; infrastructure, port and logistics investors positioned for the PPP pipeline; financial-services firms, the largest recipients of foreign direct investment in 2025; and ICT and business-services providers drawing on a young workforce. Agri-food investors can build on world-class coffee, banana, sugar and palm oil sectors, while extractive and large hydro investors should plan for thorough community consultation from the outset.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invest Guatemala and the Ministry of Economy
Open direct dialogue to understand sector incentives, site options and permitting, and to secure facilitation support early.

STEP 2: Assess ZDEEP and free zone options for manufacturing and services
Compare zone locations and incentives, including 10-year income tax exemptions, with ZOLIC and individual zone operators.

STEP 3: Track the energy and infrastructure pipeline
Follow the PEG-6 electricity tender, Puerto Quetzal expansion and ANADIE PPP projects, which offer entry points for long-term investors.

STEP 4: Structure for legal certainty
Use CAFTA-DR protections, ICSID access and international arbitration clauses, and take local legal advice on permits and land title.

STEP 5: Build community and political relationships ahead of 2027
Invest early in stakeholder engagement and maintain dialogue across the political spectrum before the June 2027 general elections.